

Table HR: Insurance Channel Decomposition: Beta vs. Idiosyncratic Volatility (1980–2022)

	(1) H\&S (ext.)	(2) Beta only	(3) Idio only	(4) Both	(5) Both + ctrls
(Intercept)	0.628** (0.284)	0.076 (0.299)	0.287 (0.257)	0.602* (0.324)	0.542 (0.347)
FDI assets / GDP	-0.449 (0.319)	-0.104 (0.379)	-0.466 (0.332)	-0.239 (0.359)	0.034 (0.367)
FDI liabilities / GDP	0.384 (0.299)	0.076 (0.353)	0.401 (0.310)	0.196 (0.334)	-0.047 (0.340)
Output vol. (H\&S HP)	-28.776*** (6.563)				
Beta vs. world output		-0.613* (0.308)		-0.460 (0.294)	-0.265 (0.298)
Idiosyncratic volatility			-25.512*** (7.258)	-23.681*** (7.283)	-25.658** (10.185)
Rule of Law					-0.260 (0.187)
OPEC dummy					-0.619 (0.734)
HIPC dummy					0.571 (0.428)
Num.Obs.	78	78	78	78	78
R2	0.228	0.077	0.167	0.194	0.273
R2 Adj.	0.197	0.040	0.133	0.150	0.200

Notes: *Beta vs. world output*: country-average 10-year rolling OLS of real GDP growth on world real GDP growth. *Idiosyncratic volatility*: average SD of residuals from the same regression. H&S's HP output volatility conflates both components. The insurance channel predicts a negative beta (low-beta countries sell insurance) and an insignificant idiosyncratic volatility. Variables winsorised at 1%. * p<0.10, ** p<0.05, *** p<0.01.